

A pick of small-cap and mid-cap stocks can put zing into your equity portfolio. Surprisingly, they are also less volatile than large-cap stocks.

MID & SMALL-CAP STOCKS MUTUAL FUNDS

Fund houses are increasingly turning to small and mid-cap stocks. That's because these stocks promise higher returns than large-caps

Mutual fund scheme	NAV (Rs)	Returns (%)	
		3-mth	1-Year
Sundaram BNP Paribas Select Midcap	97.56	12.60	31.94
Birla Midcap	72.91	21.41	52.21
UTI Master Value Fund	31.28	14.87	24.77
DBS Chola Midcap	28.35	15.67	41.96
Magnum Midcap	24.23	15.10	47.20
Franklin India Smaller Companies Fund	11.69	20.45	22.47
Sundaram BNP Paribas Select Smallcap	10.46	6.00	NA

Returns as on June 22, 2007

such amazing returns that these deserve to be included in the portfolio of even the most conservative investors. But you have to be more careful while picking mid and small-cap stocks. The choice of such stocks is infinitely greater than that of large caps. That makes it tougher to track them.

On the other hand, larger stocks may deliver better average performances. Since the inception of the BSE's small and mid-cap indices in April 2005, the Sensex has seen a growth of 120%, the BSE mid-cap of 100% and the BSE small-cap of about 90%. Every sector grew in this phase. All three segments have very impressive returns but the Sensex mega-caps have done better as a group than small-caps and mid-caps. Since some smaller stocks generated outstanding returns, by implication some smaller stocks must also have done badly to peg back index performances.

Small stock performance is therefore, more uneven. But the best small and mid-caps have outperformed the high-flying Sensex stocks so decisively that it's tempting to invest in them.

In the past six months, the BSE mid-cap and small-cap indices have outperformed the Sensex by quite a distance. While the Sensex has recorded 5% growth in the past six months, the BSE mid-cap index has grown by 7%. The BSE small-cap index has given even higher returns at 10%.

India is a growing economy and the growth opportunities for smaller companies are more. There's no doubt that the Infosyses and Reliances of the future will come from the small and mid-cap segments. No Sensex stock is likely to grow 1000% within the next two years. A few mid and small-caps are almost certain to. What one has to

do is identify them.

How many investors had bet on Infosys when it came out with a public issue in 1993? Not many, since the IPO was undersubscribed. Why go that far back in time? The first step in stock picking—any stock picking—is to look at valuations. That is, how is a stock priced compared to profits of the company. On this benchmark too, small-caps and mid-caps are valued at lower P/E ratios than their bigger comrades. Currently the Sensex P/E is about 17; compare it to the BSE mid-cap P/E of 14 and BSE small-cap P/E of 13. That makes it more tempting to include smaller scrips in your portfolio. But this may not continue for long. "In the past few months, the valuation gap between small and mid-caps with the large-caps has begun to close in. This has been reflected in the rise of the first two indices," points out Amitabh Chakraborty, president, equities, Religare.

Small and mid-cap stocks do carry the perception of larger risk and loss, especially in a bear market. That's when a small business is vulnerable and in the absence of institutional coverage, small-cap share prices can plummet. So just as Infosys completed its journey from small-cap to large-cap in a decade, creating crores in investor wealth, there are stocks that disappear from the market, pushing investors into deep losses.

Smart Money looked at the performance of the BSE Sensex, BSE mid-cap and small-cap indices since April 2005. When we crunched the data, we discovered that on certain levels smaller stocks may be safer than large-caps. First, the number of days on which the small and mid-cap indices have shown positive returns is more than that for the Sensex. This makes

"Mid-cap and small-cap stocks will drive growth in the days to come"

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